1. Depository Institutions

- **Commercial Banks**
  - These financial intermediaries raise funds primarily by issuing checkable deposits (deposits on which checks can be written), savings deposits (deposits that are payable on demand but do not allow their owner to write checks), and time deposits (deposits with fixed terms to maturity).
  - They then use these funds to make commercial, consumer, and mortgage loans and to buy U.S. government securities and municipal bonds.

1. Depository Institutions

- **Savings & Loan Associations and Mutual Savings Banks**
    - These depository institutions obtain funds primarily through savings deposits (often called *shares*) and time and checkable deposits.
    - In the past, these institutions were constrained in their activities and mostly made mortgage loans for residential housing. Over time, these restrictions have been loosened, so the distinction between these depository institutions and commercial banks has blurred.

1. Depository Institutions

- **Credit Unions**
  - These financial institutions are very small cooperative lending institutions organized around a particular group: union members, employees of a particular firm, and so forth.
  - They acquire funds from deposits called *shares* and primarily make consumer loans.

2. Contractual Savings Institutions

- financial intermediaries that acquire funds at periodic intervals on a contractual basis
- Because they can predict with reasonable accuracy how much they will have to pay out in benefits in the coming years, they do not have to worry as much as depository institutions about losing funds quickly.
- Their liquidity of assets is not as important a consideration for them as it is for depository institutions, and they tend to invest their funds primarily in long-term securities such as corporate bonds, stocks, and mortgages.

2. Contractual Savings Institutions

- **Life Insurance Companies**

  人寿保险公司

- **Fire and Casualty Insurance Companies**

  火灾和意外伤害保险公司

- **Pension Funds & Government Retirement Funds**

  养老基金和政府退休金

2. Contractual Savings Institutions

- **Life Insurance Companies**
  - Life insurance companies insure people against financial hazards following a death and sell annuities (annual income payments upon retirement).
  - They acquire funds from the premiums that people pay to keep their policies in force and use them mainly to buy corporate bonds and mortgages. They also purchase stocks, but are restricted in the amount that they can hold.

2. Contractual Savings Institutions

- **Fire and Casualty Insurance Companies**
  - These companies insure their policyholders against loss from theft, fire, and accidents.
  - They are very much like life insurance companies, receiving funds through premiums for their policies, but they have a greater possibility of loss of funds if major disasters occur. For this reason, they use their funds to buy more liquid assets than life insurance companies do.

2. Contractual Savings Institutions

- **Pension Funds & Government Retirement Funds**
  - Private pension funds and state and local retirement funds provide retirement income in the form of annuities to employees who are covered by a pension plan.
  - Funds are acquired by contributions from employers or from employees, who either have a contribution automatically deducted from their paychecks or contribute voluntarily.
  - The largest asset holdings of pension funds are corporate bonds and stocks.

3. Investment Intermediaries

- Finance Companies 财务公司
- Mutual Funds 共同基金
- Money Market Mutual Funds 货币市场共同基金
- Hedge Funds 对冲基金
- Investment Banks 投资银行

3. Investment Intermediaries

- **Finance Companies**
  - Finance companies raise funds by selling commercial paper (a short-term debt instrument) and by issuing stocks and bonds. They lend these funds to consumers, who make purchases of such items as furniture, automobiles, and home improvements, and to small businesses.
  - Some finance companies are organized by a parent corporation to help sell its product. (Ford Motor Credit Company makes loans to consumers who purchase Ford automobiles)

3. Investment Intermediaries

- **Mutual Funds**
  - These financial intermediaries acquire funds by selling shares to many individuals and use the proceeds to purchase diversified portfolios of stocks and bonds. Mutual funds allow shareholders to pool their resources so that they can take advantage of lower transaction costs when buying large blocks of stocks or bonds.
  - mutual funds allow shareholders to hold more diversified portfolios than they otherwise would. Shareholders can sell (redeem) shares at any time, but the value of these shares will be determined by the value of the mutual fund’s holdings of securities.

3. Investment Intermediaries

- **Money Market Mutual Funds**
  - These relatively new financial institutions have the characteristics of a mutual fund but also function to some extent as a depository institution because they offer deposit-type accounts.
  - Like most mutual funds, they sell shares to acquire funds that are then used to buy money market instruments that are both safe and very liquid. The interest on these assets is then paid out to the shareholders.

3. Investment Intermediaries

- **Hedge Funds**
  - a type of mutual fund with special characteristics
  - Hedge funds are organized as limited partnerships with minimum investments ranging from \$100,000 to, more typically, \$1 million or more. These limitations mean that hedge funds are subject to much weaker regulation than other mutual funds.
  - Hedge funds invest in many types of assets, with some specializing in stocks, others in bonds, others in foreign currencies, and still others in far more exotic assets.

3. Investment Intermediaries

- **Investment Banks**
  - not a bank/a financial intermediary in the ordinary sense
  - An investment bank helps a corporation issue securities. First it advises the corporation on which type of securities to issue (stocks or bonds); then it helps sell (underwrite) the securities by purchasing them from the corporation at a predetermined price and reselling them in the market.
  - Investment banks also act as deal makers and earn enormous fees by helping corporations acquire other companies through mergers or acquisitions.

Types of Financial Intermediaries

TABLE 3 Primary Assets and Liabilities of Financial Intermediaries

Type of Intermediary	Primary Liabilities (Sources of Funds)	Primary Assets (Uses of Funds)
Depository institutions (banks)		
Commercial banks	Deposits	Business and consumer loans, mortgages, U.S. government securities, and municipal bonds
Savings and loan associations	Deposits	Mortgages
Mutual savings banks	Deposits	Mortgages
Credit unions	Deposits	Consumer loans
Contractual savings institutions		
Life insurance companies	Premiums from policies	Corporate bonds and mortgages
Fire and casualty insurance companies	Premiums from policies	Municipal bonds, corporate bonds and stock, and U.S. government securities
Pension funds, government retirement funds	Employer and employee contributions	Corporate bonds and stock
Investment intermediaries		
Finance companies	Commercial paper, stocks, bonds	Consumer and business loans
Mutual funds	Shares	Stocks, bonds
Money market mutual funds	Shares	Money market instruments
Hedge funds	Partnership participation	Stocks, bonds, loans, foreign currencies, and many other assets

Types of Financial Intermediaries

TABLE 4 Primary Financial Intermediaries and Value of Their Assets

Type of Intermediary	Value of Assets ($ billions, end of year) 1980	1990	2000	2013
Depository institutions (banks)				
Commercial banks	1,481	3,334	6,469	12,670
Savings and loan associations and mutual savings banks	792	1,365	1,218	2,157
Credit unions	67	215	441	1,005
Contractual savings institutions				
Life insurance companies	464	1,367	3,136	6,035
Fire and casualty insurance companies	182	533	862	1,527
Pension funds (private)	504	1,629	4,355	7,966
State and local government retirement funds	197	737	2,293	4,846
Investment intermediaries				
Finance companies	205	610	1,140	1,474
Mutual funds	70	654	4,435	11,527
Money market mutual funds	76	498	1,812	2,678

Source: Federal Reserve Flow of Funds Accounts; http://www.federalreserve.gov/releases/Z1/.

Regulation of the Financial System

Why financial regulation?

- To increase information available to investors
- To ensure the soundness of financial intermediaries

Regulation of the Financial System

- **Increasing Information Available to Investors**

How to reduce adverse selection and moral hazard problems in financial markets?

  - To require corporations issuing securities to disclose certain information about their sales, assets, and earnings to the public
  - To discourage insider trading, which could be used to manipulate security prices

Regulation of the Financial System

Ensuring the Soundness of Financial Intermediaries

1. Restrictions on Entry

- tight regulations governing who is allowed to set up a financial intermediary
- Individuals or groups that want to establish a financial intermediary, such as a bank or an insurance company, must obtain a charter from the state or the federal government.

2. Disclosure

- Reporting requirements for financial intermediaries are stringent. Their bookkeeping must follow certain strict principles, their books are subject to periodic inspection , and they must make certain information available to the public.

Regulation of the Financial System

Ensuring the Soundness of Financial Intermediaries

3. Restrictions on Assets and Activities

- Financial intermediaries are restricted in what they are allowed to do and what assets they can hold.

4. Deposit Insurance

- The government can insure people’s deposits so that they do not suffer great financial loss if the financial intermediary that holds these deposits should fail.

Regulation of the Financial System

Ensuring the Soundness of Financial Intermediaries

5. Limits on Competition

- Politicians have often declared that unbridled competition among financial intermediaries promotes failures that harm the public.
- US Governments at times have imposed restrictions on the opening of additional locations (branches).

6. Restrictions on Interest Rates

- Competition has also been inhibited by regulations that impose restrictions on interest rates that can be paid on deposits.

Financial Regulation in China

- People's Bank of China (PBC)

- National Financial Regulatory Administration (NFRA)

- China Securities Regulatory Commission (CSRC)

Exercises

- Economies of scale enable financial institutions to

  A) reduce transactions costs.

  B) avoid the asymmetric information problem.

  C) avoid adverse selection problems.

  D) reduce moral hazard.

Exercises

- The process of asset transformation refers to the conversion of

A) safer assets into risky assets.

B) safer assets into safer liabilities.

C) risky assets into safer assets.

D) risky assets into risky liabilities.

Exercises

- The problem created by asymmetric information before the transaction occurs is called __________, while the problem created after the transaction occurs is called __________.

A) adverse selection; moral hazard

B) moral hazard; adverse selection

C) costly state verification; free-riding

D) free-riding; costly state verification

Exercises

- Banks can lower the cost of information production by applying one information resource to many different services. This process is called

  A) economies of scale.

  B) asset transformation.

  C) economies of scope.

  D) asymmetric information.

Exercises

- Financial institutions that accept deposits and make loans are called _________ institutions.

  A) investment

  B) contractual savings

  C) depository

  D) underwriting

Exercises

- The primary assets of a pension fund are

  A) money market instruments.

  B) corporate bonds and stock.

  C) consumer and business loans.

  D) mortgages.

Exercises

- In order to reduce risk and increase the safety of financial institutions, commercial banks and other depository institutions are prohibited from

  A) owning municipal bonds.

  B) making real estate loans.

  C) making personal loans.

  D) owning common stock.